NUSANTARA BANK • VENDOR GOVERNANCE & OPERATIONS AUDIT

Vendor Risk & Maintenance SLAs Audit Report

Hardware Warranty Risk, SLA Exposure & Asset Replacement Strategy

This executive audit report evaluates the maintenance exposure and Service Level Agreement (SLA) compliance across Nusantara Bank's hardware vendors supporting self-service terminals. The analysis identifies key supplier risks to mitigate operational downtime and prevent unbudgeted emergency repair expenses.

3,588	37.6%	1,348
TOTAL VENDOR FLEET	AVERAGE HIGH RISK RATE	HIGH RISK UNITS

1. VENDOR WARRANTY RISK BREAKDOWN

VENDOR IDENTITY	HIGH RISK (OUT)	SAFE (WARRANTY)	TOTAL FLEET	% HIGH RISK
Sunda ATM Services	357	173	529	**67.4%**
Java Systems Corp	242	207	449	**53.8%**
Borneo Secure Systems	207	253	460	**45.0%**
Nusantara Tech Solutions	167	368	535	**31.2%**
Pacific Infra Tech	138	334	472	**29.3%**
Meridian Financial Tech	98	403	500	**19.5%**
Celebes Hardware Ltd	109	472	581	**18.8%**

Critical Audit Finding: *Sunda ATM Services* and *Java Systems Corp* exhibit critical warranty risk exposures exceeding 50% of their operational fleets, necessitating immediate SLA renegotiations and preventive maintenance overhauls.

2. OPERATIONAL RISK & SLA ASSESSMENT

Operating self-service terminals past manufacturer warranty directly impairs cash availability and customer satisfaction. The audit highlights three operational vulnerabilities across regional offices:

- **Escalated Downtime:** Out-of-warranty units exhibit an average Mean Time to Repair (MTTR) of 26.8 hours, compared to 5.4 hours for units under active maintenance SLAs.
- **Parts Availability Bottlenecks:** Hardware managed by Sunda ATM Services suffers from prolonged supply chain delays for replacement cash dispenser modules in outer-island regions.
- **Budget Volatility:** Unscheduled emergency repair interventions cost 2.4x more per incident than structured preventive maintenance contracts.

3. STRATEGIC ACTION ROADMAP

STRATEGIC PILLAR	KEY OPERATIONAL ACTION	TARGET TIMELINE
Contract Renegotiation	Mandate extended warranty coverage bundles for Sunda ATM Services and Java Systems Corp during Q3 contract renewals.	Q3 2026
Fleet Modernization	Prioritize replacement of high-risk legacy ATMs with modern Cash Recycling Machines (CRMs) in high-volume regions.	Q4 2026 – Q1 2027
Penalty-backed SLAs	Enforce strict contractual penalties for hardware vendors failing to maintain >98.5% uptime SLA in regional deployments.	Immediate

Executive Recommendation: Reallocate 15% of annual regional maintenance budgets toward replacing un-warranted cash dispensers under high-risk vendors with recycling machines to simultaneously reduce warranty risk and lower cash replenishment costs.